



HFCL Limited (HFCL)

Horizon: Swing (1-4 wk) · Bias tested: **Neutral** · As of 02 Jun 2026

AVOID

CMP ₹190.3	52W H / L ₹191 / ₹59.8	MKT CAP ₹29,000 cr	P/E (TTM) VS SECTOR ~93x vs ~35x	ROE / ROCE 7.0% / 10.9%
PROMOTER (Δ, PLEDGE) 28.3% · pledge ~49.7%	FII / DII 7.1% / 8.6%	BETA ~1.5 (approx)	ADV Very liquid (approx)	NET DEBT ₹1,744 cr · D/E 0.25

⚡ PRIMARY CATALYST — THE REASON IT MOVES NOW

Record ₹21,200 cr all-time-high order book — anchored by a landmark \$1.1 bn (₹10,159 cr) global optical-fibre supply contract running to 2030 — is the engine re-rating HFCL into a multi-year visible-growth story.

CATEGORY	QUANTIFIED IMPACT	PROBABILITY	WINDOW
Order Win · Financial inflection	FY26 rev +22% to ₹4,949 cr; mgmt guides 20-25% FY27 growth, ₹10,000 cr LT	H (contract signed)	Execution FY27-FY30

Priced in? Largely. Stock is +154% YTD at a fresh all-time high and ~93x trailing P/E vs ~7% ROE — the order book is well known and the re-rating has front-run it. The unpriced lever is **margin delivery**, not the topline. · Source: Q4 FY26 results & concall, 30 Apr 2026 (Business Standard, ScanX)

BULL

₹230 (+21%)

FY27 guidance delivered, EBITDA margin expands 3-4%, re-rating holds; breaks ₹191 high.

BASE

₹185-200

Order book converts on schedule; stock consolidates near ATH while earnings catch up to price.

BEAR

₹150 (-21%)

Valuation de-rate on margin/WC miss or pledge overhang; mean-reverts to 50-DMA demand zone.

HFCL has the order book (₹21,200 cr) and the catalysts to justify a growth premium — but at ~93x earnings on a 7% ROE, with the stock vertical at an all-time high, the re-rating is already done. For a neutral-bias swing, the risk/reward of chasing here is poor; the edge is a pullback, not a breakout.

CATALYST LADDER — SECONDARY TRIGGERS, RANKED BY IMPACT × PROBABILITY

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Capex / Margin	₹580 cr OF preform plant (backward integration)	3-4% EBITDA margin lift; de-risks input cost	H	FY27-28	Q4 concall · Apr 2026
Restructuring	Strategic Restructuring Committee — possible value-unlock / demerger	Re-rating optionality (defence vs telecom split)	M	FY27	FY26 results · Apr 2026
Order Win	Defence-aerospace acquisition + export order book	~₹1,930 cr high-margin defence backlog; new vertical	M	FY27-28	FY26 results · Apr 2026
Product	Indigenous IP/MPLS router deployment for BSNL	Import-substitution revenue; product-mix uplift	M	Ongoing	Company news · Jan 2026
Demand	Data-centre interconnect scale-up at HTL Ltd	New structural growth vector beyond OFC	M	FY27	Q4 concall · Apr 2026
Order Win	Fresh export OFC orders (~₹184 cr)	Incremental export visibility; 58% of book is exports	H	Exec by Aug 2026	Exchange filing · 2026
Capital action	FY26 dividend declared	Token yield ~0.05% — signalling, not return	L	2026 AGM	FY26 results · Apr 2026

WHAT THE STREET IS PRICING IN

IN the price: record ₹21,200 cr order book, the \$1.1 bn OFC mega-contract, FY26 PAT +90% to ₹329 cr, and a multi-year topline-growth premium — the stock has already re-rated +154% YTD to ~93x.

NOT in the price: proof of **margin expansion** and **cash conversion** (debtor 163 days, WC 212 days), and any restructuring/demerger value-unlock. Consensus 12-mo targets cluster ~₹148-163 — **below** CMP — and a large analyst panel reads **Reduce/Sell on valuation**. The market is paying for execution it hasn't yet seen.

RISKS TO WATCH

RISK	TRIGGER	DOWNSIDE	PROB
Valuation de-rating	~93x P/E vs 7% ROE; consensus targets below CMP	-25 to -35%	H
Promoter pledge	~49.7% of promoter stake pledged — overhang if price falls	-15 to -20%	M
Cash-flow quality	Debtor 163d / WC 212d; topline grows faster than OCF	-10 to -15%	M
Export execution	58% export book; US tariff / FX / delivery slippage	-10 to -20%	M
Momentum reversal	+154% YTD vertical at ATH; profit-taking unwind	-15 to -20%	M
Through-cycle ROE	2% 5-yr sales CAGR history; thesis needs flawless ramp	qualitative	M

KEY LEVELS & TRADE FRAME

Entry zone (pullback buy)	₹152-162
Stop (below 50-DMA / breakout base)	₹138
Target 1 / Target 2	₹191 / ₹210
R:R · suggested size	~1:2 · ≤2% capital

Levels approx — verify DMAs on chart. No long at CMP (₹190): chasing into a vertical ATH at 93x is the trade to avoid. Wait for a reset toward the 50-DMA demand zone.

CATALYST CALENDAR

DATE	EVENT
Ju1-Aug 2026	Q1 FY27 results — first margin/WC check
Aug 2026	~₹184 cr export OFC orders execution deadline
FY27 (H1)	Restructuring Committee recommendations / possible demerger
FY27	₹580 cr preform facility commissioning milestones
2026 AGM	FY26 dividend approval

AVOID

Genuine business momentum — record order book, real catalysts — but the stock has already re-rated +154% YTD to ~93x earnings on a 7% ROE, with consensus targets sitting **below** CMP. For a neutral-bias swing, chasing a vertical all-time high is poor risk/reward; the edge is patience, not participation. **Flips the call:** a healthy pullback to the ₹150-162 (50-DMA) demand zone that holds, OR a Q1 FY27 print that proves margin expansion and compresses the P/E toward ~50x — either would turn this into a TACTICAL LONG.

MPM · SCREEN — ANALYZE — INVEST

This note is a quantitative/qualitative briefing for internal research use, not investment advice. HFCL is a high-beta smallcap-momentum name with elevated promoter pledge; position sizing and stops are essential. Figures cross-checked across two or more vendors; price × shares ≈ market cap is internally consistent (₹190 × ~153 cr sh ≈ ₹29,000 cr). Beta/ADV labelled approx (no live feed); 52W high ₹191 vs CMP ₹190 confirms fresh-high posture. **Sources:** HFCL Q4 FY26 results & concall (30 Apr 2026) — Business Standard, ScanX, tele.net.in; Screener.in consolidated (Jun 2026); Trendlyne shareholding (Mar 2026); TradingView / Univest consensus targets (2026); company press releases (BSNL routers Jan 2026, export OFC orders 2026). Generated 03 Jun 2026 · Not investment advice — verify against latest filings before acting.